



IAS PRELIMS 2020

TERMINOLOGY ...

FOR CRYSTAL CLEAR CLARITY

ECONOMY RELATED - II

MODULE - 5

IMPORTANT TERMINOLOGY

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LIQUIDITY

- ◆ Liquidity describes the degree to which an asset or security can be quickly bought or sold in the market at a price reflecting its intrinsic value.
- ◆ It is the ease of converting an asset to cash.



LIQUIDITY BACKSTOP

- ◆ A Backstop is an act of providing last resort support, where a liquidity provider acts as a "buyer of last resort".
- ◆ Letters of Credit and Bond Purchase Agreements are examples of Liquidity Backstops.



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SOLVENCY

- ◆ Solvency directly relates to the ability of an individual or business to pay their long-term debts including any associated interest.
- ◆ To be considered solvent, the value of an entity's assets must be greater than the sum of its debt obligations.



Value of property Rs. 2 Cr



Value of debts Rs. 1 Cr



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INSOLVENCY

- ◆ In legal terminology, it is the situation where the liabilities of a person or firm exceed its assets.
- ◆ In practice, however, insolvency is the situation where an entity cannot raise enough cash to meet its obligations, or to pay debts as they become due for payment.
- ◆ It can lead to insolvency proceedings, in which legal action will be taken against the insolvent entity, and assets may be liquidated to pay off outstanding debts.



Value of property Rs. 500 Cr



Value of total debts Rs. 1,000 Cr



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BANKRUPTCY

- ◆ It is the legal procedure for liquidating a business or property owned by an individual, which cannot fully pay its debts.
- ◆ Two major objectives of a bankruptcy are —
 - Fair settlement of the legal claims of the creditors through an equitable distribution of debtor's assets.
 - To provide the debtor an opportunity for fresh start.



Value of property Rs. 500 Cr



Value of total debts Rs. 1,000 Cr



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INSOLVENCY & BANKRUPTCY CODE

- ◆ The Insolvency and Bankruptcy Code, 2016 (IBC) is the bankruptcy law, which seeks to consolidate the existing legal framework by creating a single law for insolvency and bankruptcy, with focus on resolution.



*Dues to the
banks
Rs. 5,000 Cr*



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LIQUIDATION

- ♦ Winding up of a firm by selling off its assets to convert them into cash to pay the firm's creditors.
- ♦ Any remaining amount is distributed among the shareholders in proportion to their shareholdings.



→
Dues to the
banks
Rs. 5,000 Cr



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RESOLUTION

- ◆ It is by avoiding liquidation, preserving the inherent business value in the debtor.
- ◆ The main purpose of IBC is Resolution.



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BEHAVIOURAL ECONOMICS

- ◆ It is the study of psychology as it relates to the economic decision-making processes of individuals and institutions.
- ◆ It draws on psychology and economics to explore why people sometimes make irrational decisions.





Kilkari
Delivers free weekly mobile voice messages to pregnant woman about pregnancy and child care

A NEW MILESTONE ACHIEVED

4.82 crore

SUCCESSFUL CALLS WERE MADE UNDER KILKARI SCHEME

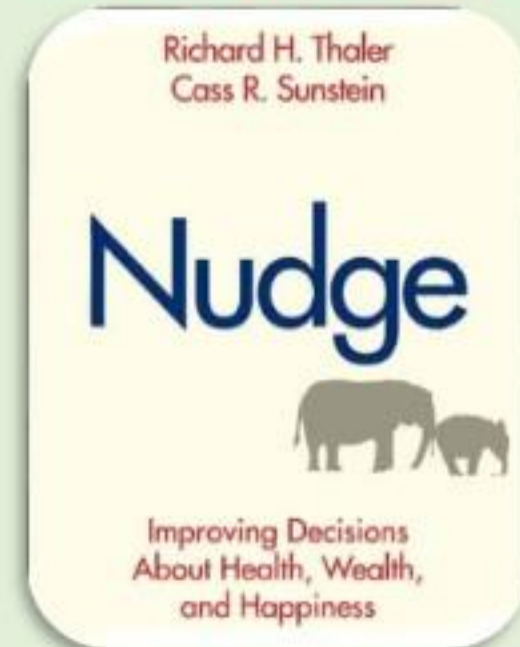



किलकारी
जहाँ माँ बनने का सपना है

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NUDGE

- ◆ Humans are not so rational and they need encouragement or intervention. This is known as Nudge and they should be encouraged, but not forced, to do something or desist from certain actions, which are harmful to the society / human beings.
- ◆ Example is putting fruit at the eye level in stead of banning the junk food.

**RICHARD THALER**

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ANIMAL SPIRITS

- ◆ “It describes the psychological and emotional factors that drive investors to take action when faced with high levels of volatility in the capital markets”.
- ◆ It is about how human emotions affect consumer confidence.



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For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588